

CW

Class-30

21/11/26

1st Paper

Ch-8

Capital Budgeting

Cashflows/Cashflow - before tax/Pre-tax cashflow

(-) Depreciation

Pre-tax Profit/Profit before tax

(-) Tax

Net Profit after tax

(+) Depreciation

(+) Salvage Value

(+) Working Capital

Cash inflow/Cashflow after tax

Depreciation = $\frac{\text{Initial inv.} - \text{Salvage value}}{\text{no. of years}}$

$\frac{\text{Salvage / Residual / Scrap Value}}{\text{no. of years}}$

Charged

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* New Project

* Asset Replacement

* Modernization

* Adding new product in product line.

1. ARR

2. PBP

3. DPBP

4. NPV

5. IRR

6. PI

Scopes

Areas

Field

Modernization

Modernization

Modernization